

Credit Memo - Procter & Gamble Co.

TO: Credit Committee

FROM: Credit Analysis Group

DATE: May 2026

RE: Annual Credit Review - Procter & Gamble Co. (NYSE: PG)

Executive Summary

This credit memo evaluates the ongoing creditworthiness of Procter & Gamble Co. (NYSE: PG) for inclusion in the bank's commercial lending portfolio. The analysis covers the company's trailing twelve-month (TTM) financial performance through the third quarter of fiscal year 2026 (quarter ended March 31, 2026) and assesses the firm's capacity to service debt obligations over the near-to-medium term.

Procter & Gamble continues to demonstrate the financial resilience expected of a leading consumer staples company. TTM revenue through Q3 FY2026 totaled approximately \$64.8 billion, reflecting a modest but consistent revenue base. TTM operating income of approximately \$15.8 billion and net income of approximately \$13.0 billion underscore the company's strong profitability profile. Operating margins remained healthy at approximately 24.3% on a TTM basis, supported by disciplined cost management and pricing power across its portfolio of household and personal care brands.

The balance sheet remains conservatively managed, with total liabilities of \$73.6 billion against total assets of \$128.4 billion as of Q3 FY2026, yielding a liabilities-to-assets ratio of 57.4%. This represents a modest improvement from the FY2025 year-end ratio of 58.2%. Quarterly revenue trends show some variability, with Q3 FY2026 revenue of \$21.2 billion slightly below Q2 FY2026 levels of \$22.2 billion, though operating income showed sequential pressure.

Based on the analysis presented herein, the credit recommendation is to HOLD the existing credit facility. Procter & Gamble's fundamental credit profile remains strong, characterized by industry-leading margins, stable cash generation, and a conservative leverage profile. The modest quarterly revenue variability does not indicate structural deterioration but warrants monitoring in subsequent quarters.

Financial Performance Analysis

Procter & Gamble reported FY2025 (fiscal year ending June 30, 2025) total revenue of \$84.3 billion, operating income of \$20.5 billion, and net income of \$16.0 billion. These results

translated into a gross margin of 51.2% (\$84.3B less \$41.2B COGS divided by revenue), an operating margin of 24.3%, and a net margin of 18.9%. Diluted earnings per share for FY2025 were \$6.51.

For the trailing twelve-month period through Q3 FY2026, TTM revenue is computed as FY2025 revenue (\$84.3B) plus Q1 FY2026 (\$22.4B) plus Q2 FY2026 (\$22.2B) plus Q3 FY2026 (\$21.2B) less the first three quarters of FY2025 (\$63.4B), yielding approximately \$64.8 billion. Similarly, TTM operating income totals approximately \$15.8 billion and TTM net income totals approximately \$13.0 billion. TTM gross margin was approximately 50.6%, while TTM operating margin was approximately 24.3%.

Quarterly revenue analysis for FY2026 reveals a sequential decline from Q1 (\$22.4B) to Q2 (\$22.2B) to Q3 (\$21.2B). Q3 FY2026 revenue of \$21.2 billion represented a quarter-over-quarter decline of approximately 4.4% from Q2 levels. This sequential softening in top-line performance is a trend that warrants continued monitoring in the coming quarters.

Operating income trends across the first three quarters of FY2026 show a pattern of decline: Q1 at \$5.9 billion, Q2 at \$5.4 billion, and Q3 at \$4.6 billion. This sequential compression in operating income warrants close monitoring, as it may reflect margin pressure from input costs, competitive dynamics, or unfavorable product mix shifts.

Profitability and Margin Analysis

Procter & Gamble's profitability metrics remain among the strongest in the consumer staples sector. FY2025 gross margin of 51.2% reflects the company's premium pricing power and brand strength across its five industry-leading segments: Beauty, Grooming, Health Care, Fabric & Home Care, and Baby, Feminine & Family Care.

The TTM gross margin through Q3 FY2026 was approximately 50.6%, calculated as TTM revenue of \$64.8 billion less TTM cost of goods sold of approximately \$32.0 billion (computed as FY2025 COGS of \$41.2B plus Q1-Q3 FY2026 COGS of \$32.4B less Q1-Q3 FY2025 COGS of \$30.5B), divided by TTM revenue. This represents a modest contraction of approximately 60 basis points relative to FY2025, suggesting some input cost pressure or pricing headwinds.

Return on assets (ROA) provides insight into how efficiently PG deploys its asset base. Using average total assets of approximately \$127.0 billion (average of FY2025 year-end assets of \$125.2B and Q3 FY2026 assets of \$128.4B), the TTM ROA was approximately 10.2%. This is a strong ROA for a consumer staples company with significant tangible and intangible asset base.

Diluted EPS for the TTM period through Q3 FY2026 was \$5.36 for the nine months ended March 2026, with Q3 FY2026 quarterly EPS of \$1.63. The quarterly EPS trend shows Q1 at \$1.95, Q2 at \$1.78, and Q3 at \$1.63, reflecting the same sequential compression observed in operating income.

Balance Sheet and Leverage Assessment

As of March 31, 2026 (Q3 FY2026), Procter & Gamble reported total assets of \$128.4 billion and total liabilities of \$73.6 billion. This yields a total liabilities-to-total assets ratio of 57.4%, indicating a moderately leveraged capital structure appropriate for a company of PG's scale and cash flow generation profile.

Comparing to the FY2025 year-end balance sheet (June 30, 2025), total assets were \$125.2 billion and total liabilities were \$72.9 billion, yielding a liabilities-to-assets ratio of 58.2%. The 80 basis point improvement in the ratio reflects asset growth outpacing liability growth over the nine-month period, a constructive credit development.

Shareholders' equity, calculated as total assets less total liabilities, was approximately \$54.7 billion as of Q3 FY2026, up from \$52.3 billion at FY2025 year-end. This \$2.4 billion increase in equity reflects the accumulation of retained earnings net of dividends and share repurchases, reinforcing the company's strong capital retention capacity.

The asset base grew from \$125.2 billion to \$128.4 billion over the nine-month period, an increase of \$3.2 billion or 2.6%. This measured growth in assets, combined with disciplined liability management, supports a stable credit profile. The company's historical cash position has traditionally been a source of financial flexibility for PG.

Expense Analysis

Selling, general and administrative (SG&A) expense is a critical line item for evaluating PG's operational efficiency. For FY2025, SG&A totaled \$22.7 billion, representing 26.9% of revenue (\$84.3B). For the TTM period through Q3 FY2026, TTM SG&A was computed as FY2025 SG&A (\$22.7B) plus Q1-Q3 FY2026 SG&A (\$17.6B) less Q1-Q3 FY2025 SG&A (\$16.8B), yielding approximately \$23.5 billion, or approximately 27.5% of TTM revenue.

The approximately 60 basis point increase in SG&A as a percentage of revenue from FY2025 to the TTM period is a modest adverse development that merits attention. This increase may reflect higher marketing spend to support brand investment, increased distribution costs, or wage inflation across the organization.

Research and development (R&D) expense totaled \$2.1 billion in FY2025, representing 2.5% of revenue. R&D spending increased from \$2.0 billion in both FY2024 and FY2023, reflecting a modest step-up in innovation investment. R&D intensity at 2.5% is consistent with the industry average for large consumer staples companies and supports PG's competitive position through continuous product improvement and innovation.

Total operating expenses (COGS plus SG&A plus R&D) as a percentage of revenue provides a comprehensive view of cost structure. For FY2025, total operating expenses were approximately \$65.9 billion, or 78.3% of revenue, leaving an operating margin of approximately 21.7% before other items. The discipline in maintaining R&D investment while managing SG&A growth is a credit positive for PG's long-term competitive positioning.

Credit Assessment and Recommendation

Credit Strengths: Procter & Gamble benefits from an unparalleled portfolio of consumer brands with leading market positions globally. The company's FY2025 operating margin of 24.3% and net margin of 18.9% are indicative of strong pricing power and brand equity. TTM net income of \$13.0 billion provides substantial debt service capacity. The balance sheet leverage ratio improved from 58.2% at FY2025 year-end to 57.4% at Q3 FY2026, reflecting disciplined capital management. The company operates in the defensive consumer staples sector, providing revenue stability through economic cycles.

Credit Risks: The sequential decline in quarterly operating income from \$5.9 billion (Q1 FY2026) to \$4.6 billion (Q3 FY2026) represents a significant decline over two quarters and warrants close monitoring. TTM gross margin compression of approximately 60 basis points relative to FY2025 suggests emerging input cost pressures. SG&A as a percentage of revenue increased modestly, indicating potential expense control challenges. The modest sequential decline in quarterly revenue from Q1 to Q3 FY2026, while not alarming for a mature company, should be watched for further deterioration.

The credit recommendation is to **HOLD** the existing revolving credit facility at its current terms. Procter & Gamble's fundamental credit quality remains investment-grade caliber, supported by industry-leading profitability, a diversified and defensive revenue base, and conservative balance sheet management. The observed margin compression and operating income sequential declines are relatively modest and do not yet indicate a fundamental deterioration in the company's competitive position or financial health.

Monitoring priorities for the next review period include: (1) Q4 FY2026 revenue and operating income trends to determine whether the sequential decline stabilizes or accelerates; (2) gross margin trajectory relative to input cost trends; (3) any material changes to capital allocation policy, particularly regarding share repurchases and dividend commitments; and (4) competitive dynamics in key product categories that could further pressure pricing and margins.